

is that all these transactions are stored in the blockchain and the difficulty of tracing is increased only if there are a lot of users in the laundry service. Unfortunately, most services don't enjoy that kind of volume of users.

Bitcoin Exchanges

An exchange is where real world cash can be used to trade in Bitcoins. So you don't need to mine Bitcoins on your own you can simply buy a few coins and then start using the Bitcoin system to make payments. There are several exchanges and there are Indian Bitcoin exchanges too. However, we strongly advise against using any service that isn't registered with the authorities. Mt.Gox is the most popular Bitcoin exchange there is and we'll walk you through the process of getting a few coins.

You'll need to create an account first which includes sending a government issues proof of identity and proof of residence. Without these two you will not be able to buy or sell Bitcoins at Mt.Gox. The documents are only accessible to staff members of Mt.Gox so you don't need to worry about it getting into the hands of anyone else. Do note that you will not be able to use a Credit card or any similar reversible method for purchasing Bitcoins since Bitcoin transactions are irreversible. You'll have to use Direct deposit or a service like Moneygram. Until you verify your account you won't be able to transfer money to your Mt.Gox account and you'll see the following image.

Add Funds
Withdraw Funds
Redeem Codes

Please Choose A Funding Method:

Bank Transfer

NOTE: International wire transfers take 10 business days or more to reach us. All deposits are subject to AML checks due to more stringent AML requirements, and this process may take up to 24 hours after the funds have reached us.

IMPORTANT: Before sending anything, please read all of what is written here

All withdrawals and deposits require account verification.

By depositing funds into your MtGox account you agree to use this service only for the buying and selling of Bitcoins and associated activities. Funds deposited with MtGox must come from the bank account with the name that matches the owner of the MtGox account. Furthermore, funds may only be withdrawn to an account that is under the MtGox account owner's own name, except where transferring Bitcoins or other non-fiat currencies. Breach of these terms and / or use of this service in a manner other than that for which it is intended may result in the suspension of your account pending investigation.

In order to make deposits you need to have a "verified" or "trusted" account status. Please visit <https://mtgox.com/forms/verification> to apply.

A government issued ID proof is needed to operate some exchange accounts